

Cost Accounting Term Project

Submission 13rd Week

Course: Financial & Cost Accounting

Objective: To analyze the cost structures and manufacturing performance of a PSX-listed company using real-world financial data.

Assignment Instructions

Each student (or group) must select **one** manufacturing company listed on the Pakistan Stock Exchange (PSX) from sectors such as Cement, Textile, Automobile, or Sugar. You will use the **Annual Reports** of the last 5 years (2021–2025) to complete the following tasks.

Task 1: Company Introduction

- Provide a brief history of the company.
- Identify its core products and manufacturing plant locations.
- Mention the company's vision/mission regarding cost efficiency and production quality.

Task 2: Company Performance (2-Year Comparison)

Analyze the financial health of the company for the most recent two years (e.g., 2024 vs. 2025).

- Compare **Gross Profit** and **Net Profit**
- Briefly explain any significant increase or decrease in profitability based on the "Director's Report" section of the annual report.

Task 3: Cost Behavior Analysis

Based on your research of the company's production process, classify their costs into:

- **Variable Costs:** (e.g., Raw materials, direct power/fuel).
- **Fixed Costs:** (e.g., Plant depreciation, factory rent, permanent staff salaries).
- **Step/Mixed Costs:** (e.g., Maintenance costs or semi-variable utilities).
- **Requirement:** Explain how these costs likely behave when production volume increases (Economies of Scale).

Excel-Based Quantitative Analysis (5-Year Trend)

For Tasks 4, 5, and 6, you must submit an Excel workbook with formulas.

Task 4: Manufacturing Statement (Statement of Cost of Goods Manufactured)

Extract data from the "Notes to the Financial Statements" (usually under the **Cost of Sales** note).
Construct a 5-year statement including:

- Direct Materials Consumed
- Direct Labor
- Factory Overheads (FOH)
- Adjustment of Work-in-Process (Opening & Closing)

Task 5: Prime Cost Analysis

Calculate the **Prime Cost** (Direct Material + Direct Labor + Direct exp) for the last 5 years.

- **Analysis:** Note if the Prime Cost is increasing due to inflation or raw material devaluation.

Task 6: Cost of Goods Sold (COGS) Performance (Graph)

Prepare a 5-year comparison of:

- Cost of Goods Manufactured (from Task 4)
- Finished Goods Adjustments
- Final COGS
- **Key Metric:** Calculate the **COGS as a percentage of Sales** for each year . A rising percentage indicates decreasing cost efficiency.

Submission Guidelines

1. **Written Report:** A PDF document covering Tasks 1, 2, and 3.
2. **Excel Sheet:** A file containing Tasks 4, 5, and 6 with clear headings and working formulas.
3. **Reference:** Attach the "Statement of Profit or Loss" and the "Cost of Sales Note" from the latest Annual Report as an appendix.
4. **Submission 13rd Week**